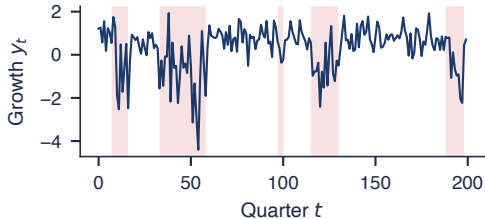
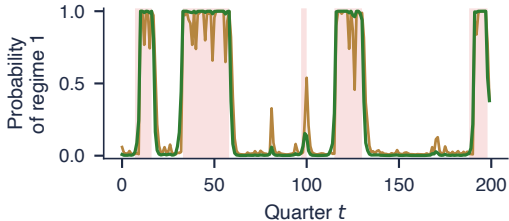


$y_t = \mu_{S_t} + \varepsilon_t$: two means, two variances



Hamilton filter and smoother



True regime 1 (recession) y_t Filtered $\Pr(S_t = 1 | Y_t)$ Smoothed $\Pr(S_t = 1 | Y_n)$